CUSTOMER DISCOVERY ASSIGNMENT

Improving Enterprise Invoice Processing Efficiency

1. Customer Background

A multinational organization operates across several countries and manages a large network of suppliers providing products, technology, facilities management, maintenance, consulting, and other business services.

The company's Finance Shared Services team is responsible for receiving, validating, processing, and paying supplier invoices.

BUSINESS PARAMETER	CURRENT SITUATION
Active suppliers	10,000–11,500
Annual procurement spend	Approximately US$5 billion
Monthly invoice volume	Approximately 25,000
Peak processing period	Approximately 65% of invoices arrive toward month-end
Invoice processing workforce	Approximately 60–65 employees
Target processing SLA	3 business days
Enterprise finance application	SAP
Additional tools	Email, Excel, and document repositories

These figures are initial customer estimates. Their accuracy and definitions must be validated during discovery.

2. Current Business Process

Suppliers submit invoices through email, electronic documents, and existing procurement systems. The Accounts Payable team receives them and performs several checks before payment approval. A typical invoice moves through these activities:

- Receive the invoice from the supplier.
- Identify the supplier and verify supplier details.
- Extract invoice number, date, amount, tax details, and purchase order reference.
- Verify whether the invoice corresponds to an approved purchase order.
- Check goods receipt or service confirmation, where applicable.
- Identify discrepancies involving quantities, pricing, tax, supplier data, or supporting documents.
- Contact suppliers, procurement teams, or business owners to resolve discrepancies.
- Submit validated invoices for required approvals.
- Record and process approved invoices in SAP.
- Track unresolved invoices and communicate payment status.

Although SAP is in use, several activities still involve manual verification, email communication, and spreadsheet-based tracking.

3. The Customer's Problem

The Chief Financial Officer (CFO) is concerned about the efficiency and predictability of invoice processing. Finance leaders believe employees spend considerable time clarifying, correcting, or chasing approval for invoices.

Month-end is especially challenging because a large proportion of invoices arrive in a short period. Employees must investigate discrepancies across systems, exchange emails with suppliers, and wait for procurement teams or business owners to respond.

The organization is concerned about processing delays, operating overhead, poor visibility, and an inconsistent supplier experience. However, it does not yet know precisely where delays occur, what causes them, or which improvements would deliver the highest business value.

4. Customer's Initial Statement

CFO — FIRST DISCOVERY MEETING

"We process approximately 25,000 invoices every month, and we have a team of more than 60 people supporting the operation. Despite having an enterprise finance system, our teams continue to spend significant time checking invoices, resolving discrepancies, and communicating with suppliers. Month-end is particularly stressful because a large percentage of our invoices arrive during that period. We want to improve processing efficiency, reduce unnecessary manual effort, and ensure suppliers are paid on time. Our technology team has suggested that AI may help, but before investing in another technology platform, we want to understand the real problems and the business value of addressing them."

5. Known Business Challenges

Invoice processing delays. Some invoices appear to exceed the expected three-business-day processing period. The stages responsible for these delays have not been established.

Manual verification effort. Employees compare invoice information with purchase orders, supplier records, and supporting documents. Time spent across verification tasks is not measured reliably.

Invoice exceptions. Invoices may have incomplete information, incorrect supplier references, mismatched amounts, or missing documentation. Frequency, root causes, and business impact are not quantified.

Month-end workload. Approximately 65% of invoices arrive toward month-end. The customer does not know whether pressure arises from capacity, process design, supplier behavior, systems, or a combination.

Limited operational visibility. Managers need better visibility into invoices awaiting validation, clarification, approval, or payment. Existing reporting may not support operational decisions.

Supplier communication. Suppliers contact AP teams regarding invoice status and payment dates. The volume and cost of these inquiries are unknown.

6. Business Expectations

The customer wants to investigate opportunities to:

- Reduce invoice processing turnaround time and repetitive manual activities.
- Improve compliance with the three-business-day SLA.
- Identify and minimize avoidable invoice exceptions.
- Improve visibility into pending and delayed invoices.
- Reduce operational pressure during month-end.
- Improve supplier communication and payment predictability.
- Establish measurable financial and operational benefits.

No specific technical solution has been approved. The organization is open to process changes, existing SAP workflow enhancements, conventional automation, AI-assisted capabilities, or a combination. Any recommendation must be justified by evidence gathered during discovery.

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